

ORIGINAL

FEDERAL MARITIME COMMISSION

CERES MARINE TERMINALS, INC.

Complainant,

v.

MARYLAND PORT ADMINISTRATION

Respondent.

Docket No. 94-01

Served: August 16, 2004

The Maryland Port Administration is found to be an arm of the State of Maryland, and is entitled to sovereign immunity from the regulatory adjudication of a privately-filed Shipping Act complaint.

BY THE COMMISSION: Steven R. BLUST, *Chairman*; A. Paul ANDERSON, Joseph E. BRENNAN, Harold J. CREEL, Jr., and Rebecca F. DYE, *Commissioners*.

ORDER

This proceeding began with the filing of a complaint before the Commission by Ceres Marine Terminals, Inc.

("Ceres") against the Maryland Port Administration ("MPA"), in which Ceres alleged that MPA had violated provisions of the Shipping Act of 1984, 46 U.S.C. app. 1701 et seq., by providing lease terms to other parties that were more favorable than the lease terms that were made available to Ceres. The case is now before the Commission for its evaluation of MPA's defense that it is an arm of the State of Maryland and therefore entitled to sovereign immunity from the regulatory adjudication of Ceres' complaint. For the reasons set forth below, we have determined that MPA has carried the burden of proof to show that it is entitled to sovereign immunity. This conclusion requires the dismissal of Ceres' complaint.

BACKGROUND

A. Proceedings before the agency

The proceeding was first heard by an administrative law judge ("ALJ"). MPA presented several defenses against Ceres' complaint, one of which was that Ceres had voluntarily entered into its lease agreement with MPA and was therefore estopped from bringing a Shipping Act claim against MPA. The ALJ issued an Initial Decision in which he concluded that MPA had violated the Shipping Act. Ceres Marine Terminal, Inc. v. Maryland Port Admin., 27 S.R.R. 695 (I.D. 1996). MPA filed exceptions to the Initial Decision, including among other arguments a reassertion of its position on estoppel, which it noted the ALJ had failed to address. Upon review of MPA's exceptions and Ceres' reply, the Commission determined that the Initial Decision was inadequate, and accordingly vacated it and reviewed the proceeding de novo. Ceres Marine Terminal, Inc. v. Maryland Port Admin., 27 S.R.R. 1251 (1997). On review, the Commission decided that MPA had violated sections

10(b)(11) and 10(b)(12) of the Act by refusing to grant Ceres the favorable lease terms it had granted to another party, solely because of Ceres' status as a marine terminal operator. The Commission also found that MPA had violated section 10(d)(1) by imposing rates and charges on Ceres that were excessive in relation to the benefit received. Finally, the Commission found that MPA had violated the Act by refusing to extend to Ceres rates for its barge service that were comparable to the rates provided to another barge operator at the port.

The Commission remanded the case to the Office of Administrative Law Judges in order to determine the damages due Ceres. The Commission's discussion on the merits of the case addressed MPA's estoppel defense in passing, stating that the agency would not penalize Ceres for waiting one and a half years after signing the lease before filing its Shipping Act complaint, "since doing so would, in effect, amount to penalizing a party for waiting the full statutory period of limitation before bringing a claim." 27 S.R.R. at 1276-7 n.59.

B. Appeal to the Fourth Circuit

On October 20, 1997, MPA appealed the Commission's decision to the United States Court of Appeals for the Fourth Circuit, challenging the agency's findings on the merits, and again raising its estoppel defense. Ceres appeared in the Fourth Circuit as an intervenor in support of the Commission's decision. On October 13, 1998, the Fourth Circuit issued an unpublished opinion in which it partially affirmed, and partially remanded the case to the Commission. Maryland Port Admin. v. Federal Maritime Comm'n, 164 F.3d 624 (Table). The Fourth Circuit affirmed the Commission's conclusions on the barge issue. However, the court remanded the case to the agency,

explaining that while the Commission had addressed the issue of the effect on Ceres' complaint of its decision to wait 18 months after signing the lease before filing a complaint, the Commission had failed to address the merits of MPA's defense that Ceres was estopped from challenging the terms of a freely-negotiated lease. The proceeding was therefore remanded to the Commission "for its consideration of the MPA's claim that Ceres was estopped from challenging the terms of its lease with the MPA." Slip Op. at 10. The Court did not rule on whether the Commission had correctly concluded that MPA had violated the Shipping Act by dealing differently with Ceres solely on the basis of its status as a marine terminal operator. It did, however, suggest that the Commission "revisit its conclusion on the damages due to Ceres and to explain more fully its conclusion that Ceres should not have to prove the damages it actually suffered but that damages should equal the difference between the rates charged." Slip Op. at 8 n.2.

C. Remand to the Commission

1. Chinese Wall

Ten days after the Fourth Circuit remanded the case to the Commission, MPA filed a "Petition to Establish a 'Chinese Wall' or, in the Alternative, to Permit Discovery Regarding Communications Between Ceres and the Federal Maritime Commission Staff." The gist of MPA's petition was that cooperation between the Commission's appellate attorneys and counsel for Ceres had produced impermissible ex parte communications and a biased "will to win" on the part of the Commission's staff attorneys. The Commission denied MPA's Petition on April 16, 1999. 28 S.R.R. 806.

2. The stipulation regarding sovereign immunity

On August 16, 1999, MPA requested leave to amend its answer to Ceres' complaint, seeking to add an affirmative defense of sovereign immunity. The defense MPA wished to assert was that it is an arm of the State of Maryland, and is entitled to sovereign immunity from proceedings initiated by private parties pursuant to the Eleventh Amendment to the U.S. Constitution. On September 17, 1999, the Commission approved a stipulation crafted by MPA and Ceres addressing this issue. The stipulation provided that the question whether MPA is entitled to a sovereign immunity defense against Ceres' complaint would be "resolved most appropriately and efficiently in federal court." The stipulation accordingly reflected an agreement that MPA would not amend its answer, and Ceres would not argue that any conduct by MPA subsequent to the stipulation constituted a waiver of a sovereign immunity defense.

3. Estoppel and other issues on remand

On August 15, 2001, the Commission released its order addressing the issues remanded to the agency by the Fourth Circuit. 29 S.R.R. 356. The agency concluded that "the common law doctrines of waiver and estoppel may not be invoked to prohibit a party to an agreement subject to the Commission's jurisdiction from later challenging the agreement in a complaint filed with the Commission alleging that one of the parties to the agreement violated a duty imposed on it by the Shipping Act." *Id.* at 372. The Commission also addressed the Fourth Circuit's concern with the proper measure of damages, and affirmed its earlier determination that "where the duty is 'absolute' and a competitive relationship is not necessary to

prove undue or unreasonable preference or prejudice, the proper measure of damages is the amount of unlawful excess exacted, which is akin to an overcharge.” Ibid. In addition, the Commission elaborated on the applicable measure of damages under section 10(d)(1) (which MPA was also found to have violated), and concluded that the measure is the “rate differential” between the commercial rate and the rate found to be excessive. Id. at 373.

Finally, the Commission directed MPA and Ceres to file briefs addressing their earlier stipulation preserving the sovereign immunity issue for future court litigation. This request was made in response to the Fourth Circuit’s opinion, in an unrelated proceeding, that state sovereign immunity applies in regulatory adjudications before the Commission. See South Carolina State Ports Authority v. Federal Maritime Commission, 243 F.3d 165 (2001).¹

D. Merits of a sovereign immunity defense

Ceres and MPA filed opening briefs on October 1, 2001. MPA also filed a motion to dismiss on sovereign immunity grounds. Ceres filed a petition to establish a briefing schedule regarding the motion to dismiss on October 9, 2001, and MPA filed a reply to Ceres’ petition on October 15, 2001.

¹MPA appealed the Commission’s August 15, 2001 order to the Fourth Circuit on October 15, 2001. See Maryland Port Admin. v. Federal Maritime Comm’n, 4th Cir. No. 01-2248. It then consented to the dismissal of its appeal on October 30, 2001 for lack of ripeness, agreeing in effect to await the conclusion of the agency proceeding before securing judicial review.

On October 18, 2001, the Commission determined to hold the proceeding in abeyance, because the Supreme Court had granted the agency's petition to review the Fourth Circuit's decision in the South Carolina case. See Federal Maritime Comm'n v. South Carolina State Ports Auth., 534 U.S. 971 (2001) (granting petition for writ of certiorari). That case was then fully litigated on the merits.

On May 28, 2002, the Supreme Court issued an opinion in which it concluded, by a vote of 5 to 4, that the Commission cannot adjudicate complaints filed against nonconsenting state-run ports pursuant to the Eleventh Amendment and the doctrine of state sovereign immunity. Federal Maritime Comm'n v. South Carolina State Ports Auth., 535 U.S. 743 (2002). The Court held that state sovereign immunity bars the Commission "from adjudicating a private party's complaint that a state-run port has violated the Shipping Act of 1984." Id. at 747.

On August 23, 2002, the Commission ordered Ceres and MPA to file final briefs on the sovereign immunity issues in light of the Supreme Court's decision in South Carolina. Ceres and MPA filed their final briefs on September 23, 2002.

On February 27, 2003, MPA filed a motion for leave to file a judicial decision with the Commission. Ceres filed a response indicating that it does not oppose MPA's motion. The judicial decision MPA wished to bring to the Commission's attention is an unpublished transcript of an oral ruling by a district court judge holding that MPA is an arm of the State of Maryland.

POSITIONS OF THE PARTIES

A. MPA's opening brief

MPA asserts that the Fourth Circuit's decision in South Carolina (which at the time the opening brief was filed had not yet been selected for review by the Supreme Court) "authoritatively holds that a state port authority's sovereign immunity precludes it from being brought before a federal administrative tribunal by a private party asserting claims under the Shipping Act of 1984." Br. at 2. MPA further asserts that it is entitled to avail itself of the State of Maryland's sovereign immunity because "any judgment against it would be satisfied out of state funds," and because "MPA's lack of autonomy, its statewide role, and its immunity under state law" indicate that it is an arm of the State of Maryland. Id. at 3.

1. State treasury

MPA argues that the paramount consideration in an arm of the state analysis is whether any monetary award would be paid out of the state treasury. In support of this contention, MPA relies primarily on the Fourth Circuit's ruling in Ristow v. South Carolina State Ports Authority, 58 F.3d 1051 (4th Cir.), cert. denied, 516 U.S. 987 (1995). In that case, the court concluded that "one factor dominates the inquiry -- whether the state treasury is 'obligated' for 'the losses and debts' of the entity under scrutiny." Ristow, 58 F.3d at 1052 (quoting Hess v. Port Authority Trans-Hudson, 513 U.S. 30, 51 (1994)).

Specifically, MPA asserts that Maryland provides financial support over the port's net revenues, and that the State takes back any excess revenues not required for MPA's ongoing

operations. MPA cites to state statutes providing that MPA is a constituent unit of the Maryland Department of Transportation. MPA notes that its operating budget, as part of the overall MDOT budget, requires the approval of the Maryland General Assembly. MPA explains that the General Assembly places funding for MDOT into the Transportation Trust Fund, from which spending on transportation projects, including MPA's activities, is taken. MPA further notes that the revenue it takes in from taxes, fees, and charges is not kept by MPA but instead placed into the Transportation Trust Fund. It is this Fund, MPA argues, that would be the source of any money to pay a reparations award issued against MPA.

2. Dignity

MPA further contends that “even if a judgment against MPA would not affect the State treasury, MPA would still enjoy sovereign immunity” because of the closeness of the relationship between MPA and Maryland. Br. at 7. MPA contends that this relationship indicates that an adjudicatory proceeding against it would infringe upon Maryland's dignity. In support of this contention, MPA notes that it “is a unit of MDOT and, as such, the Secretary of Transportation and Governor exercise ultimate control over its affairs.” Br. at 8. Next, MPA asserts that it provides an essential governmental function to Maryland by attracting and serving waterborne commerce. Finally, MPA maintains that it is treated as a state entity under Maryland state law.

3. Exceptions do not apply

MPA asserts that none of the recognized exceptions to sovereign immunity applies to this case. MPA argues that it has

not consented generally to suits or other adversarial proceedings, nor has it consented to the particular complaint in this case. It contends that “neither MPA nor the Maryland Attorney General has the authority to waive the State’s sovereign immunity.” Br. at 10. MPA also argues that it has not waived its sovereign immunity defense by waiting until several years into this proceeding to assert it. MPA notes that sovereign immunity is a jurisdictional issue, and argues that it raised the defense as soon as it was discernibly available.

B. Ceres’ opening brief

Ceres first explains that the Commission has the authority, even given the parties’ earlier stipulation, to rule on the sovereign immunity issues. It then asserts that in order to properly assess whether MPA is an arm of the State of Maryland, Ceres needs to engage in discovery. It also notes that, under Maryland law, “[f]unds in the Transportation Trust Fund are not part of the general funds of the State.” Br. at 11 (citing Md. Code Ann., Transp. I sec. 3-216(f)).

1. Discovery

Ceres contends that the state statutes addressing MPA’s relationship with the State of Maryland

do not answer a number of questions that would be relevant to deciding the Eleventh Amendment arm-of-the-state issue . . . such as the following: (1) How much revenue does MPA generate from its own activities? (2) What portion of its expenses are met by its own revenues? (3) What is the nature and value of the property owned by MPA in its own name? (4) How closely have the

Maryland Port Commission, the Secretary of the Department of Transportation, the Governor, and the legislature supervised the activities of MPA? (5) When, or how frequently, must MPA revenues be deposited with the Transportation Trust Fund? (6) In what circumstances are judgments against MPA or debts of MPA satisfied out of funds held by the Transportation Trust Fund? (7) How often, if ever, have debts or judgments against MPA been satisfied from the general funds of the State, as opposed to MPA funds or the Transportation Trust Fund?

Br. at 11-12. Without discovery, Ceres claims, it cannot properly assess whether MPA is an arm of the State of Maryland.

2. Waiver

However, Ceres argues that even if MPA is an arm of the state, it has waived its immunity. First, Ceres asserts that MPA waived immunity in the lease at issue in this case. Ceres notes that section 14 of the lease provides that “any suits or disputes . . . shall be brought and prosecuted in either the State or Federal courts of the State of Maryland or before the Federal Maritime Commission.” Br. at 13.

Second, Ceres argues that MPA waived whatever immunity it enjoys by appealing the Commission’s October 10, 1997 order to the Fourth Circuit. Ceres argues that “MPA’s action was the functional equivalent of a declaratory judgment action by a prospective defendant to a tort or contract action, brought in a forum of its choosing, to obtain a ruling on the merits that would pretermitt or be binding in any subsequent action against it. It was also the functional equivalent of

removing a case from one forum with certain powers and jurisdiction to another.” Br. at 18-19.

Finally, Ceres contends that MPA waived immunity by participating before the Commission for several years without mentioning sovereign immunity. Ceres contends that, pursuant to the Supreme Court’s opinion in Wisconsin Dep’t of Corrections v. Schacht, 524 U.S. 381, 389 (1998), sovereign immunity is not a matter of subject-matter jurisdiction, and can accordingly be waived. Ceres then avers that “a [tribunal] can consider a belatedly-raised immunity defense but, upon consideration of the circumstances, conclude that the defense was waived by active litigation on the merits.” Br. at 24. Ceres argues that MPA waived its immunity in this case by litigating before the Commission without raising sovereign immunity, even after it should have known that such a defense was likely available to it.

C. MPA reply brief

In its reply brief, MPA asserts that Ceres’ request for discovery should not be granted, because the state statutes governing MPA “leave no room for doubt” that a reparations award against it would affect state funds. MPA also asserts that funds in the Transportation Trust Fund “are still State funds” even though they are not general funds, and that the separation is immaterial. MPA then suggests that Ceres’ arguments addressing MPA’s alleged waiver of its immunity are irrelevant, because even “if Ceres were awarded reparations by the Commission, the Eleventh Amendment would preclude Ceres from suing MPA to recover them.” Reply Br. at 6. The gist of this argument is that MPA would enjoy sovereign immunity

from a proceeding in a United States district court to enforce a reparations award. See 46 U.S.C. app. 1713(d).

MPA then presents three distinct defenses against the argument that it has waived whatever immunity it enjoys from Commission proceedings. First, addressing the lease, it contends that the section cited by Ceres is a choice of law and venue provision, not a waiver of immunity. It also asserts that the lease did not address immunity because at the time it was entered into, state immunity from regulatory adjudications had not yet been confirmed by the Supreme Court.

Second, MPA argues that it did not waive its immunity by participating in the Commission proceeding for years without raising the defense. MPA asserts that it raised the defense as soon as it was clear that sovereign immunity could be relevant to an agency adjudication. MPA further notes that it “did not withhold its defense to gain a tactical advantage,” but rather because there was no reason to think the defense was available. Br. at 15.

Finally, MPA contends that its appeal to the Fourth Circuit did not waive its immunity, because its resort to the court of appeals was not voluntary. Rather, MPA claims it was merely continuing its defense on the merits by seeking appellate review of the Commission’s order. MPA notes in particular that it did not seek to remove the case from a non-federal forum to a federal court as a means of invoking the Eleventh Amendment, nor did it file an appeal in order to assert an immunity defense that was unavailable before the Commission.

D. Ceres reply brief

In its reply brief, Ceres clarifies that it no longer seeks discovery in this case. Ceres argues that MPA has failed to meet the burden of proof to show that it is an arm of the state, such that discovery is not necessary to reach a determination on that issue.

Addressing MPA's substantive arguments, Ceres argues that MPA has waived its immunity in this case. Ceres focuses primarily on the Supreme Court's holding in Lapides v. Bd. of Regents of the Univ. Sys. of Ga., 535 U.S. 613 (2002), that a state cannot remove a case from a forum in which it has no immunity to a forum in which it does have immunity, and then seek dismissal of the cause of action. Ceres contends that MPA waived its immunity by voluntarily appealing the Commission's 1997 decision to the Fourth Circuit.

It also contends that MPA's failure to raise a sovereign immunity defense earlier in this proceeding constitutes a waiver of that defense. Ceres avers that MPA should have known that a sovereign immunity defense was likely available before an administrative tribunal after the Supreme Court's decision in Seminole Tribe of Florida v. Florida, 517 U.S. 22 (1996), which overruled the previous doctrine (the "constructive waiver" theory) which had held that commercial operation in a federally regulated field constituted a waiver of any immunity from suit within that field.

Finally, Ceres avers that MPA has supplied insufficient proof in this case to meet its burden of demonstrating that it is an arm of the state for sovereign immunity purposes. Ceres avers that MPA both relied on the wrong legal test to

demonstrate arm of the state status, and failed to supply adequate evidence to meet the standards of the correct test. Ceres also contends that even under the allegedly erroneous standard set forth by MPA, MPA has failed to meet its burden.

DISCUSSION

The U.S. Supreme Court has concluded that the Commission cannot adjudicate complaints filed against nonconsenting state-run ports, pursuant to the Eleventh Amendment to the Constitution and the doctrine of state sovereign immunity. See Federal Maritime Comm'n v. South Carolina State Ports Auth., 535 U.S. 743 (2002). The question now presented is whether MPA is entitled to partake of the State of Maryland's immunity. However, before turning to this question, it is necessary to address two threshold issues: whether MPA is correct that the present proceeding is irrelevant as a matter of law, and whether MPA has waived its right to raise an immunity defense in this case.²

A. Alleged irrelevance of this proceeding

MPA asserts that this proceeding is irrelevant, because Ceres could never enforce a reparations award against MPA. See MPA Reply Br. at 6. In essence, MPA's contention is that even if the adjudication of Ceres' complaint before the Commission were to proceed, MPA would be entitled to assert sovereign immunity from the district court enforcement

² MPA's motion for leave to file an oral decision by a federal district court is granted. We note, however, that the judge's unpublished oral ruling has little persuasive value.

proceeding Ceres would initiate to collect any monetary reparations awarded by the Commission. See 46 U.S.C. app. 1713(d) (district court enforcement of orders granting reparations). MPA thus contends that there is no purpose to continuing the adjudication of this case.

MPA's argument presupposes that it is an arm of the state, while that is in actuality the question central to this proceeding. If the Commission were to determine that MPA is not an arm of the state, and that decision were upheld on appeal, then MPA would not be entitled to a sovereign immunity defense in any federal forum. MPA's argument also presumes that it has not waived its immunity, but the Commission has not yet passed judgment on that issue. If the Commission were to find that MPA has waived its right to raise an immunity defense in this case, MPA might not be entitled to invoke that defense in a subsequent district court enforcement proceeding: such a proceeding could be characterized as a continuation of the present adjudication, as to which the waiver would carry over.³ Accordingly, MPA's status vel non as an arm of the state, and the merits of Ceres' waiver argument, must be ruled upon by the Commission.

³ In addition, the Commission retains the authority to levy fines against any person who fails to comply with a reparations order. See South Carolina, 535 U.S. at 766. Because such a fine would comprise an agency-initiated enforcement action, MPA would not be entitled to assert a sovereign immunity defense against a subsequent district court action to collect the fine, as states do not enjoy immunity from actions undertaken by the Federal Government. Thus, even if MPA were immune from a subsequent district court enforcement action, the Commission would retain leverage over it in the form of fines for noncompliance.

B. Waiver of immunity defense

Ceres alleges that MPA has waived its right to raise a defense of sovereign immunity from this regulatory adjudication. We conclude that MPA has not waived this defense.

1. Lease

Ceres first argues that the terms of MPA's lease contain language adequate to support a waiver of sovereign immunity. Ceres points to section 14 of the lease, which provides that

The parties agree that this AGREEMENT & LEASE was entered into in the State of Maryland and that the laws of Maryland and any applicable federal laws shall govern its interpretation and application. With the exception of disputes submitted to arbitration pursuant to Section 19 herein, any suits or disputes arising under this LEASE & AGREEMENT shall be brought and prosecuted in either the State or Federal courts of the State of Maryland or before the Federal Maritime Commission.

See Ceres Opening Brief at 13.

The question is whether the lease language is a clear and unequivocal waiver of MPA's purported immunity. The Supreme Court has held that a state instrumentality does not waive its immunity through broad language to sue and be sued in any court of competent jurisdiction. See College Savings Bank v. Florida Prepaid Postsecondary Education Expense Bd., 527 U.S. 666, 676 (1999), and cases cited therein. Instead, a

waiver of immunity must be clear and unequivocal. See Atascadero State Hospital v. Scanlon, 473 U.S. 234, 241 (1985) (test is “a stringent one”).

MPA contends that the lease language is merely a choice of law and venue provision, not a waiver of immunity. See MPA Reply at 7-8 and 8 n.7. In addition, MPA notes that the lease was drafted before Supreme Court caselaw had moved in the direction of recognizing sovereign immunity in administrative adjudications.

The language relied upon by Ceres does not clearly express an intention on MPA’s part to waive any immunity it might have. Indeed, neither the word nor the concept of a “waiver” is reflected anywhere in the lease. Furthermore, the Commission cannot accept that MPA deliberately waived its immunity from regulatory adjudications in a lease that was signed before the existence of such immunity had been confirmed by the Supreme Court in South Carolina. Accordingly, we conclude that MPA did not waive its sovereign immunity in the lease it entered into with Ceres.

2. Waiver by litigation

Ceres argues that MPA waived its immunity either by litigating before the Commission for years without raising a sovereign immunity defense, or by voluntarily invoking the jurisdiction of the Fourth Circuit on appeal in 1997. Both of these arguments are premised on the idea that MPA should have known that it was entitled to assert sovereign immunity as a defense against Ceres’ complaint, and that it must therefore suffer the consequences of having failed to raise that defense in a timely manner. We have concluded, however, that this is not

an accurate assessment of the likely availability of a sovereign immunity defense during the relevant time frame.

a. Chance of success before the Commission

Ceres argues that MPA waited too long before first raising sovereign immunity to the Commission, because MPA's first reference to the defense was more than five years into the proceeding. Ceres concedes that caselaw allows a sovereign immunity defense to be raised at any stage in a proceeding, but further argues that a tribunal "can consider a belatedly-raised immunity defense but, upon consideration of the circumstances, conclude that the defense was waived by active litigation on the merits." Ceres Br. at 24. Ceres argues that it would be unfair for MPA to "pursue victory on the merits, seeking rulings that will benefit it in other contexts, and, if it loses on the merits, simply walk away by raising a defense of sovereign immunity that was reasonably available to it much earlier in the proceeding." Id. at 29.

It would be unreasonable to expect MPA to have predicted the availability of a sovereign immunity defense before the Commission. Indeed, the agency itself took the position that such a defense was entirely lacking in merit until the Supreme Court ruled otherwise. Compare S.C. Maritime Services v. S.C. State Ports Auth., 28 S.R.R. 1385 (2000) (rejecting sovereign immunity defense before FMC), with South Carolina, 535 U.S. at 747 (sovereign immunity applies to proceedings before FMC). In addition, South Carolina was the first Supreme Court opinion to extend sovereign immunity beyond the scope of the "Judicial power" mentioned in the text of the Eleventh Amendment. See South Carolina, 535 U.S. at 777 (Breyer, J., dissenting). There was little indication prior to

that decision that the Supreme Court would entirely detach state sovereign immunity doctrine from the text of the Eleventh Amendment.

As the U.S. Court of Appeals for the Federal Circuit explained in State Contracting & Eng'g Corp. v. Florida, 258 F.3d 1329, 1337 (Fed. Cir. 2001), cert. denied, 534 U.S. 1131 (2002), when Supreme Court precedent does not create a “reasonable expectation” of the success of a sovereign immunity defense, a state does not waive its immunity through participation in a case. We conclude that MPA’s participation in the litigation initiated by Ceres was undertaken when there was no “reasonable expectation” that a sovereign immunity defense could have been successfully advanced.

In addition, as MPA explains, there was no tactical advantage to be gained from withholding a sovereign immunity defense. See MPA Reply at 15. That is, MPA did not benefit by withholding its immunity defense; on the contrary, it involuntarily litigated against Ceres’ complaint for over five years before realizing that it might be immune from the process Ceres had initiated. Because MPA’s late recognition of the probable existence of a sovereign immunity defense was not in any respect tactical or deliberate, we cannot agree with Ceres’ position that MPA should be penalized for its tardiness. Accordingly, we conclude that MPA could not have been aware of the chance of success of a sovereign immunity defense before the Commission prior to the time it first raised that defense on August 16, 1999. In the absence of a reasonable likelihood of success, MPA’s defense on the Shipping Act merits of this case does not constitute a waiver of its right to claim sovereign immunity from Ceres’ complaint.

b. Appeal to the Fourth Circuit

Finally, Ceres contends that MPA's decision to appeal the Commission's October 10, 1997 order finding violations of the Shipping Act to the Fourth Circuit constitutes a voluntary invocation of federal court jurisdiction sufficient to support a claim of waiver, and that seeking judicial relief waives sovereign immunity. Ceres relies primarily on the Supreme Court's decision in Lapides v. Bd. of Regents of the Univ. Sys. of Ga., 535 U.S. 613 (2002), in which the Court held that voluntary invocation of federal court jurisdiction by a state constitutes a waiver of the state's immunity in that case.

However, unlike the situation in Lapides, MPA did not remove the present proceeding from a state forum to a federal forum. It was already in a federal forum, and merely appealed to the next available forum in the review chain for an evaluation of the merits of the proceeding. MPA did not file a counterclaim, and did not assert any sort of immunity defense before the court of appeals that it could not assert before the Commission. In short, MPA did not appeal to the Fourth Circuit in an attempt to bolster or even raise its sovereign immunity defense, nor did it seek review on the merits in lieu of raising such a defense, since as noted, supra, the availability of an immunity defense before the Commission was not known at the time. We conclude that MPA's appeal to the Fourth Circuit did not waive its sovereign immunity defense.

Ceres also contends that MPA could have decided not to appeal to the Fourth Circuit at all, but instead could have waited until a district court enforcement action was initiated to defend on the merits. Ceres avers that by choosing to invoke the jurisdiction of the Fourth Circuit, "MPA waived any immunity

in the FMC proceeding and in an enforcement action.” Ceres Br. at 20. This would appear to be incorrect. Under sections 30-31 of the Shipping Act, 1916, former 46 U.S.C. 829-830 (the statute formerly administered by the Commission but repealed by the ICC Termination Act, Pub. L. No. 104-88, 109 Stat. 803 (1995)), common carriers could seek review of reparations orders only in enforcement actions brought by shippers, and the courts of appeals had no jurisdiction under the Hobbs Act. See Consolo v. Federal Maritime Comm’n, 383 U.S. 607, 613-15 (1966). The primary theory underlying that case was that permitting carrier review under the Hobbs Act would deprive the shipper of his choice of venue and various other procedural advantages provided in enforcement actions. See Consolo, 383 U.S. at 614-15; see also ICC v. Atlantic Coast Line R.R., 383 U.S. 576, 595-98 (1966). Those procedural advantages are retained in section 14(d) of the Shipping Act of 1984, 46 U.S.C. app. 1713(d).

The Consolo rule turned on language in section 31 of the 1916 Act which indicated that review was appropriate in the courts of appeals “except as otherwise provided.” Consolo, 383 U.S. at 613. However, neither the current Shipping Act nor the Hobbs Act as amended, 28 U.S.C. 2341, make any exception to the “exclusive jurisdiction” of the courts of appeals to review FMC orders under section 14 of the 1984 Act. See also South Carolina, 535 U.S. at 761-763.

Therefore, whatever review MPA could have sought in district court would not have been identical in scope to the review that was available to it before the Fourth Circuit. While Ceres suggests that either route would have equally protected MPA’s interests, this does not appear to be the case. See ICC v. Atlantic Coast Line, 383 U.S. at 594-95 (limited scope of review

on issues subject to agency's primary jurisdiction). Accordingly, the Commission concludes that MPA did not waive its immunity by seeking appellate review of the Commission's order before the Fourth Circuit in 1997.

C. Mechanics of a sovereign immunity defense

In light of our conclusions that (1) the instant proceeding is not irrelevant as a matter of law; and (2) MPA has not waived its opportunity to raise a sovereign immunity defense, the agency must pass judgment upon the merits of MPA's defense. In other words, the Commission must determine whether MPA is an arm of the State of Maryland.

1. Immunity applies to arm of state

One of the consequences of the Supreme Court's opinion in South Carolina is that "the Commission [is] required to ascertain whether a marine terminal claiming 'arm of the state' status - which determines whether state sovereign immunity attaches - is in fact entitled to such status." S.C. Maritime Services v. S.C. State Ports Auth., 29 S.R.R. 802, 805 n.7 (2002). Status vel non as an arm of the state is determinative of the immunity inquiry, because lesser entities, such as municipal corporations or local governments, are not entitled to protection under the Eleventh Amendment. See South Carolina, 535 U.S. at 751; Alden v. Maine, 527 U.S. 706, 756 (1999).

2. Burden

It is MPA's burden to demonstrate that it is an arm of the state, not Ceres' burden to prove that MPA is not. See Gragg v. Ky. Cabinet for Workforce Dev., 289 F.3d 958, 963 (6th Cir.

2002); Christy v. Pa. Turnpike Comm'n, 54 F.3d 1140, 1144 (3rd Cir. 1995); Baxter v. Vigo County Sch. Corp., 26 F.3d 728, 734 n.5 (7th Cir. 1994). Indeed, as the First Circuit has noted, an erroneous designation of an entity as an arm of the state can be just as detrimental to a state's dignity as an erroneous decision failing to recognize such status. Fresenius Medical Care Cardiovascular Resources, Inc. v. Puerto Rico, 322 F.3d 56 (1st Cir.), cert. denied, 124 S.Ct. 296 (2003). In other words, there is no presumption that it advances a state's dignity to assume that every entity connected to a state is an arm of that state.

3. Standard

Whether MPA is an arm of the state is a question of federal law. Regents of the Univ. of Cal. v. Doe, 519 U.S. 425, 429-430 n.5 (1997) ("the question whether a particular state agency has the same kind of independent status as a county or is instead an arm of the State, and therefore 'one of the United States' within the meaning of the Eleventh Amendment, is a question of federal law."). The Supreme Court has developed broad factors that must be analyzed in order to reach a determination whether an entity is an arm of the state. See Hess v. Port Auth. Trans-Hudson Corp., 513 U.S. 30, 48 (1994) ("most salient factor" is whether state will have to pay any judgment out of its treasury, but other factors are relevant as well); Regents of the Univ. of Cal. v. Doe, 519 U.S. 425 (1997) (potential legal liability dominates arm of the state status); but see South Carolina ("the primary function of sovereign immunity is not to protect state treasuries . . . but to afford the States the dignity and respect due sovereign entities."). Because of the broad nature of the inquiry the Supreme Court has

directed lower courts to employ, the particular standard varies somewhat from one circuit to another.⁴

The Fourth Circuit has observed that because “[t]here is no clear line separating those state instrumentalities that are

⁴ The Supreme Court’s effective conferral upon the Commission the obligation to determine whether certain ports meet the standard for arm of the state status creates a notable difficulty. Namely, as an agency with nationwide regulatory authority over the shipping industry, the Commission, unlike a district court, cannot routinely apply the legal standards of a particular circuit in its decisionmaking.

Nor could the Commission automatically apply the standards used by the circuit in which a particular port is located, because Commission orders are reviewed under a multiple venue provision. That is, an agency order may be appealed to either the circuit in which the alleged Shipping Act violations occurred, or instead to the U.S. Court of Appeals for the D.C. Circuit. See 28 U.S.C. 2343. In U.S. Dept. of Energy v. FLRA, 106 F.3d 1158 (4th Cir. 1997) (Luttig, J., concurring), Judge Luttig explained the problems that arise from multiple-venue provisions. The agency cannot know where parties to adjudications will seek judicial review, and thus cannot effectively avoid the possibility of applying the “wrong” circuit standard in any given case. Judge Luttig noted that an agency subject to a multiple-venue review process may “at the adjudicatory stage of its proceedings . . . follow that caselaw which it prefers,” but that a reviewing court would be bound by the standards set forth in its own precedents. 106 F.3d at 1165. In the instant proceeding, we have sought to follow the Fourth Circuit’s preferred test, but we have also analyzed elements of the First Circuit’s approach, which we believe more closely reflects the Supreme Court’s reasoning in South Carolina.

entitled to sovereign immunity from those that are not,” the courts “should seek guidance in the twin purposes of the Eleventh Amendment.” Kitchen v. Upshaw, 286 F.3d 179, 184 (4th Cir. 2002). The Fourth Circuit described those purposes as protection of the state fisc, and concern for the state’s dignity. Ibid. The court relied on the Supreme Court’s opinion in Hess, 513 U.S. 30, to support its analysis. See also Gray v. Laws, 51 F.3d 426 (4th Cir. 1995) (addressing confusion regarding arm of state status after Hess).⁵

Kitchen reflects present Fourth Circuit thinking on how to evaluate arm of the state status. It first requires an examination whether a state will have to pay any money judgment that is awarded. The Fourth Circuit holds that “[t]his is often the end of the inquiry, for if the ‘State treasury will be called upon to pay a judgment against a governmental entity . . . consideration of any other factor becomes unnecessary.’” Kitchen, 286 F.3d at 184, quoting Cash v. Granville County Bd. of Education, 242 F.3d 219, 223 (4th Cir. 2001). If, however, money from the state treasury will not be used to pay a judgment, the Fourth Circuit directs the analysis towards three additional factors: “1) the degree of control that the State exercises over the entity; 2) whether the entity deals with local

⁵ In Hess, the Supreme Court explained that “Courts of Appeals have recognized the vulnerability of the State’s purse as the most salient factor in Eleventh Amendment determinations,” because sovereign immunity exists to ensure “the prevention of federal court judgments that must be paid out of a State’s treasury.” 513 U.S. at 48. The Court thus emphasized the potential impact on a state’s treasury as animating both the purpose for sovereign immunity and the determination whether an entity is entitled to such immunity.

rather than statewide concerns; and 3) the manner in which State law treats the entity.” Kitchen at 184 (citation and quotation marks omitted).

We must mention, however, that the primary purpose of state sovereign immunity, as explained in Hess and as applied by the Fourth Circuit in Kitchen, would appear to be somewhat inconsistent with the Supreme Court’s more recent decision in South Carolina. The Supreme Court noted in South Carolina that “the primary function of sovereign immunity is not to protect state treasuries . . . but to afford the States the dignity and respect due sovereign entities.” 535 U.S. 769. The Court further emphasized that a Shipping Act adjudication against a state-run port would not be permissible even if “Congress had allowed private parties to sue States in federal court for violations of the Shipping Act but precluded a court from awarding them any relief.” Id. at 766. In other words, the Court held that the potential impact on a state’s treasury has little to do with the purpose of sovereign immunity.

It is difficult to square the Fourth Circuit’s determination in Kitchen that any potential levy on the state treasury conclusively establishes status as an arm of the state, with the Supreme Court’s conclusion in South Carolina that protection of the state treasury is not the “central purpose” of the doctrine of sovereign immunity. Because the South Carolina case was specifically an analysis of sovereign immunity under the Shipping Act, the divergence from earlier caselaw to the present approach is especially difficult for this Commission to disregard. For this reason, we have sought to examine a different circuit test, one that specifically takes the South Carolina ruling into account.

The First Circuit, in Fresenius Medical Care Cardiovascular Resources, Inc. v. Puerto Rico, 322 F.3d 56 (1st Cir.), cert. denied, 124 S.Ct. 296 (2003), attempted to reconcile earlier precedent with the Supreme Court's later rulings, including South Carolina. The First Circuit noted that one could criticize Hess and other Supreme Court opinions for being "not entirely consistent with the broader Eleventh Amendment interests established by other and later cases." 322 F.3d at 67. The court went on to explain, however, that the more recent cases

are addressed to what protection is given the state by the Eleventh Amendment. Hess is concerned with who is entitled to share that protection. When the state has not made it clear through structure that an entity is to share its immunity, there is reason not to reach a result inconsistent with what the state has apparently hoped to effectuate (that is, an independent entity) unless there is a risk to the state fisc.

Ibid. (emphasis supplied). The First Circuit's analysis is similar to that in the Fourth Circuit, but in reverse. The First Circuit will initially examine the structure of an entity, and if that structure leads to the conclusion that the entity is an arm of the state, the inquiry ends there. Id. at 68. If however the "structural indicators point in different directions," then the court looks to determine "the vulnerability of the state's purse." Id. at 65.

The significance of this distinction is that the first step, examining an entity's structure, "pays deference to the state's dignitary interest in extending or withholding Eleventh Amendment immunity from an entity." Id. at 65. The Fourth

Circuit's approach, which makes this step unnecessary if the state's fisc is at risk, seems to de-emphasize precisely what the Supreme Court in South Carolina determined to be the "central purpose" of state sovereign immunity. Our analysis takes both of these tests into account in evaluating MPA's claim that it is an arm of the State of Maryland.

D. MPA's status under the applicable standard

1. Findings of fact

As an initial matter we have made the following findings of fact:

1. MPA is a constituent unit of the Maryland Department of Transportation. MPA Br. 4, 8.
2. Through its oversight of waterborne commerce, MPA serves "an essential government function to the [S]tate" of Maryland. MPA Br. 8, citing Md. Ann. Code Transp. I sec. 6-204(p).
3. MPA is overseen by the Maryland Secretary of Transportation and six commissioners who are appointed by the Governor with the advice and consent of the state Senate. MPA Br. 8.
4. Commission members are compensated from funds in the state budget. MPA Br. 8.
5. MPA's accounts are audited by the State Legislative Auditor. MPA Br. 8.

6. MPA is required by Maryland law to provide to the State Comptroller revenue and cost data. MPA Br. 8.
7. The Maryland General Assembly appropriates funds for MDOT and MPA, and places such funds into the Transportation Trust Fund. MPA Br. 4-5.
8. MPA's annual operating and capital budget is included in MDOT's budget request to the Maryland General Assembly. MPA Br. 4.
9. General funds account for less than two percent of the sources of funds of the Transportation Trust Fund. Ceres Reply Br. 18.
10. The funds in the Transportation Trust Fund are used to pay the debt service on MDOT's bonds and to fund authorized transportation activities and projects. MPA Br. 5.
11. Funds in the Transportation Trust Fund are not part of the general funds of the State of Maryland. Ceres Br. 11, citing sec. 3-216(f).
12. MPA does not have the authority to issue its own bonds. MPA Br. 5.
13. Bonds issued for MPA projects go through the MDOT Consolidated Transportation Bond process, and proceeds from such bonds are credited to the Transportation Trust Fund. MPA Br. 5.

14. MPA does not retain revenue generated from taxes, fees and charges, but instead remits such revenues to the Transportation Trust Fund. MPA Br. 5.

15. A judgment for damages against MPA would be satisfied from the Transportation Trust Fund. MPA Br. 5.

16. At least one Maryland court has held MPA immune from suit in state court. See Maryland Port Administration v. I.T.O. Corporation of Baltimore, 395 A.2d 145 (Md. Ct. Spec. App. 1978).

17. MPA has the authority to bring and defend against lawsuits, in its own name. Ceres Br. 10.

18. MPA has the authority to lease port facilities and other properties in its own name, and to enter into contracts. Ceres Br. 10, 11.

19. MPA has the authority to appear in its own name before federal and state agencies, the United States Congress, the Maryland General Assembly, and appropriate nongovernmental bodies. Ceres Br. 10.

2. Application of test

a. Risk to treasury

Under the Fourth Circuit's test, the first question is whether a monetary judgment against MPA would have to be paid out of state funds. Kitchen, 286 F.3d at 184. The facts point in both directions.

On the one hand, the Maryland General Assembly appropriates funds for MDOT and MPA, and places such funds into the Transportation Trust Fund. A judgment for damages against MPA would be satisfied from the Transportation Trust Fund. The funds in the Trust Fund are used to pay the debt service on MDOT's bonds and to fund authorized transportation activities and projects, and MPA does not have the authority to issue its own bonds. Bonds issued for MPA projects go through the MDOT Consolidated Transportation Bond process, and proceeds from such bonds are credited to the Transportation Trust Fund. MPA does not retain revenue generated from taxes, fees and charges, but instead remits such revenues to the Transportation Trust Fund. MPA's annual operating and capital budget is included in MDOT's budget request to the Maryland General Assembly. All of these factors would appear to suggest that any money judgment would be paid out of the state treasury.

However, Ceres has pointed out that funds in the Transportation Trust Fund are not part of the general funds of the State of Maryland, and that general funds account for less than two percent of the sources of funds for the Transportation Trust Fund. This would suggest that the Trust Fund, and MPA, are self-funded and that a judgment against MPA would not imperil the Maryland treasury. Moreover, Ceres notes that a judgment against MPA would not "create a direct liability against the general funds of the State" because, as MPA has admitted, a judgment could only be paid from the Trust Fund. Ceres Reply at 17. See Regents of the Univ. of Cal. v. Doe, 519 U.S. 425, 431 (1997) ("it is the entity's potential legal liability, rather than its ability or inability to require a third party to reimburse it, or to discharge the liability in the first instance, that is relevant.").

It appears that MPA has not provided enough evidence to show that a judgment against it would impact the Maryland treasury. Ceres has shown that a judgment would be paid out of the Trust Fund, and that the Fund is not so closely tied to Maryland general funds as to imperil them. We conclude that MPA has not proved that a judgment against it would be paid with state funds.⁶

b. Degree of Control

Under the Fourth Circuit's test, our conclusion that MPA has failed to show that a judgment against it would be paid with state funds requires moving to the second stage, *i.e.*, an examination of the structure of MPA vis-a-vis the State of Maryland. Accordingly, we must now determine

1) the degree of control that the State exercises over the entity; 2) whether the entity deals with local rather than statewide concerns; and 3) the manner in which State law treats the entity.

⁶ If the Commission had concluded that any money judgment against MPA would be paid with state funds, the problem identified above with the Fourth Circuit's test would come into play. Briefly, the Fourth Circuit emphasizes any potential impact on state treasuries to the exclusion of an analysis of a state's dignity interest. In order to be consistent with the Supreme Court's ruling in South Carolina, it would appear that the second stage of the Kitchen analysis would be necessary even if MPA had shown that a reparations award would have to be paid out of Maryland's treasury.

Kitchen at 184 (citation and quotation marks omitted). It appears that the indicators are mixed with respect to the degree of control that Maryland exercises over MPA. On the one hand, MPA is a constituent unit of the Maryland Department of Transportation and is overseen by the Maryland Secretary of Transportation and six commissioners who are appointed by the Governor with the advice and consent of the state Senate. Commission members are compensated from funds in the state budget. MPA's accounts are audited by the State Legislative Auditor, and MPA is required by Maryland law to provide revenue and cost data to the State Comptroller. These facts suggest that the State of Maryland exercises a significant degree of control over MPA.

On the other hand, as Ceres points out, MPA has the authority to bring and defend against lawsuits, to lease port facilities and other properties, and to enter into contracts, all in its own name. MPA also enjoys the authority to appear in its own name before federal and state agencies, the United States Congress, the Maryland General Assembly, and appropriate nongovernmental bodies.

While MPA operates as an independent agency in many important respects, Maryland does appear to exercise a significant measure of control over it. In addition, the provenance of the officials who run MPA suggests that they are political appointees who are compensated by the state and are intended to be answerable to the state.

c. Local or statewide concerns

The next step is whether MPA deals with local or statewide concerns. MPA contends that it serves "an essential

government function to the [S]tate” of Maryland. MPA Br. 8, citing Md. Ann. Code Transp. I sec. 6-204(p). Ceres does not contest this, but instead contends that it is not sufficient to prove MPA’s status as an arm of the state. We conclude that MPA does exercise authority over statewide concerns, and that its oversight of maritime commerce is an essential function to the State of Maryland.

d. State law

Finally, there is the question of how state law treats MPA. At least one Maryland court has held MPA immune from suit in state court. See Maryland Port Administration v. I.T.O. Corporation of Baltimore, 395 A.2d 145 (Md. Ct. Spec. App. 1978). As Ceres points out, however, this case addresses MPA’s immunity under state law and does not examine the question whether it is immune under federal law.

3. Conclusion

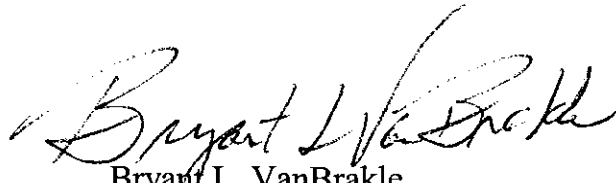
The State of Maryland exercises a significant degree of control over MPA, an entity that deals with statewide concerns and that has been treated as an arm of the state by at least one Maryland state court. These factors all point in the direction of MPA being an arm of the State of Maryland. Even though MPA is free to litigate on its own in the courts, to enter into contracts, and in other respects to conduct its business with little direct oversight by the state, we believe that MPA has provided proof that it is closely linked to the State of Maryland. A proceeding against MPA would therefore infringe upon Maryland’s dignity by subjecting it to the coercive process of a Commission adjudication. The Commission concludes that MPA is an arm of the State of Maryland.

CONCLUSION

The Commission rejects MPA's argument that this proceeding is irrelevant as a matter of law. We further conclude that MPA did not waive its right to raise a sovereign immunity defense in this case. Finally, the Commission concludes that MPA has adequately demonstrated that it is an arm of the State of Maryland, and that it is immune from Ceres' complaint.

THEREFORE, IT IS ORDERED, That Ceres' complaint against MPA is dismissed.

By the Commission.



Bryant L. VanBrakle
Secretary